India & Cabo Verde: Strengthening Partnership, Shaping Shared Growth

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Foreword

Cabo Verde is a small archipelago with an outsized place in the Atlantic. Ten volcanic islands, around 520,000 residents and a diaspora that is larger than the home population sit at the crossroads of Africa, Europe and the Americas, 570 kilometres off the coast of Senegal. Politically one of the most stable democracies in Africa, Cabo Verde has built a tourism-led, services-based and increasingly digital economy, grown by about six per cent in 2025, anchored by the euro-linked escudo, strong ties with Portugal and the European Union and membership of the Economic Community of West African States. At the same time, a very small domestic market, vulnerability to climate and external shocks, public debt close to the size of the economy, high energy and water costs, limited scale and the distance from India are realities that must be carefully weighed when assessing commercial opportunities.

India and Cabo Verde share a relationship that is cordial, institutional and still young in commercial terms. India accredited its first Ambassador in 1977, opened a resident Embassy in Praia in June 2023 and held the first foreign-office consultations in March 2024. Cabo Verde has signed the International Solar Alliance framework agreement, Indian cooperation has supported information technology, water and health projects, and yoga, Holi and crafts have found a warm audience. Bilateral trade of under US$ 10 million a year is modest, which means that opportunity lies in niche, high-value and partnership-based engagement: pharmaceuticals and health, renewable energy and water, tourism and hospitality, digital services, the blue economy, education and the Portuguese-language and Atlantic bridge that Cabo Verde offers.

This knowledge paper has been prepared by CCI India to help Indian businesses, institutions and policymakers make informed, practical and risk-aware decisions about engagement with Cabo Verde. It sets out sector opportunities, regulatory and financial considerations, risk-management practices and an action agenda for 2026-2030. Information reflects conditions as of October 2026, which remain fluid, and readers should verify current developments and obtain professional advice before committing resources.



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CABO VERDE

> Enjoy island rhythms and ocean views, where music and culture define life.



Basic Facts & Economic Overview

Cabo Verde is an island country located in the Atlantic Ocean off the northwest coast of Africa, with Praia as its capital. As of 2025 projections, the population is approximately 560,000–600,000. The official language is Portuguese, and the national currency is the Cabo Verde Escudo (CVE), which is pegged to the euro.

Cabo Verde is considered one of Africa's most stable and well-governed nations. Unlike many African countries, it lacks significant natural resources and has built its economy around services, particularly tourism, transportation, and financial services. The country has a high level of human development relative to its size and benefits significantly from remittances sent by its diaspora.

Economy — GDP, Structure & Recent Performance

Cabo Verde's nominal GDP is estimated at approximately USD 2.5–3 billion (2025).

- Sectoral Composition: Services: ~65–70%
- Industry: ~15–20%
- Agriculture: ~10%

The economy is highly dependent on tourism, which accounts for a significant share of GDP and employment. After a decline during the COVID-19 pandemic, tourism has rebounded strongly, supporting economic recovery. However, the country remains vulnerable to external shocks due to its reliance on tourism and imports. The government is promoting renewable energy and digital services to diversify the economy.

Bilateral Trade with India: Small but Strategic

Trade between India and Cabo Verde is relatively limited, estimated at USD 20–40 million annually. The relationship is primarily based on India's exports of essential goods and development cooperation rather than large-scale commodity trade.

Cultural and Heritage:
Cabo Verde has a unique Creole culture shaped by African and Portuguese influences. It is renowned for its music styles like morna and coladeira, popularized by Cesária Évora. Festivals, dance, and a strong maritime tradition reflect its island identity.

Cultural and Strategic Economic Ties

India and Cabo Verde share cordial diplomatic ties built on trust and long-term partnership. Their cooperation spans capacity-building, renewable energy, and digital development, helping Cabo Verde strengthen its human resources and modernise key sectors. India supports this relationship through training programs, technical assistance, and initiatives that boost skills and technology access. Cabo Verde's position in the Atlantic also opens doors for stronger maritime links, including safer sea routes, ocean research, and blue-economy projects.

Import and Export from India

Cabo Verde's Imports from India

Key Import Products: Pharmaceuticals, rice, textiles, engineering goods, and consumer products

Key Players in Import: Local distributors, healthcare providers, and government procurement agencies



Cabo Verde's Exports to India

Key Export Products: Fish and seafood products (small quantities)

Key Players in Export: Fisheries cooperatives and small exporters

Conclusion – Summary & Recommendation

Cabo Verde is a small but strategically located service-driven economy with limited trade volume but strong governance. Building stronger bilateral relations can bring meaningful benefits for both sides. There is room to deepen work in renewable energy and tourism, two areas that align well with Cabo Verde's long-term development plans. Growing cooperation in digital services can help modernize systems, create new job pathways, and support economic resilience. Capacity-building programs can further strengthen institutions and skills, ensuring that both partners share knowledge and grow together. A service-oriented partnership creates steady, lasting opportunities that support broader development goals for both countries.

Strategic Importance and Key Observation:

Located in the Atlantic Ocean, Cabo Verde holds strategic importance as a mid-ocean hub connecting Africa, Europe, and the Americas. Its islands sit along major sea and air routes, giving it a unique role in regional movement and trade. Key Observation: Its economy relies heavily on tourism, remittances, and services, making it stable but vulnerable to external shocks, while its strategic location boosts its role in trade and connectivity. Over the years, Cabo Verde has worked to expand renewable energy, strengthen transport links, and build wider international partnerships, aiming to reduce dependence on a few sectors and support long-term growth.

1. Cabo Verde: Economic Profile and Business Environment

1.1 Country overview

Cabo Verde lies in the mid-Atlantic, roughly 570 kilometres west of Senegal. Its ten islands are divided into the windward Barlavento group, including Santo Antão, São Vicente, Sal and Boa Vista, and the leeward Sotavento group, including Santiago, Fogo and Maio. Santiago, home to the capital Praia, is the most populous island and the political and commercial centre of the Sotavento group, while Mindelo on São Vicente is the cultural and port centre of the Barlavento. Sal and Boa Vista host most of the large tourist resorts, and Fogo has an active volcano and a notable wine and coffee tradition.

The resident population is about 520,000, young, urbanised and well educated by regional standards. Portuguese is the official language and Kriolu is spoken by everyone. Cabo Verde is classified as a lower-middle-income country and graduated from least-developed-country status in 2008. It is widely regarded as one of Africa's most stable democracies, with competitive elections, peaceful transfers of power and strong institutions.

1.2 Structure of the economy

- **Tourism:** the largest driver of growth and foreign exchange, with record arrivals of more than a million visitors, mostly from the United Kingdom, Portugal, Germany, the Netherlands, France and Belgium.
- **Transport and trade:** port, airport, shipping and logistics services, with Sal and Praia airports and Mindelo, Praia and Porto Grande ports.
- **Blue economy:** fisheries, fish processing, aquaculture, shipping services and ocean-related industries, which the government aims to raise to a quarter of output.
- **Construction and real estate:** driven by tourism, housing and public works, and by diaspora investment.
- **Telecommunications and digital services:** connectivity, tech parks, start-ups and outsourcing.
- **Renewable energy and utilities:** wind and solar plants alongside diesel and desalination.
- **Agriculture and food:** limited by aridity, with horticulture, livestock, coffee and wine in particular valleys, and heavy food imports.
- **Remittances and diaspora flows:** transfers from Cabo Verdeans abroad support household income and investment.

1.3 Regional role

Cabo Verde is a member of ECOWAS, which offers free movement of people and regional market-integration frameworks with West African markets, and holds a Special Partnership with the European Union. Its position in the Atlantic, its air hub on the island of Sal and its Portuguese-language and diaspora links make it a bridge among Africa,